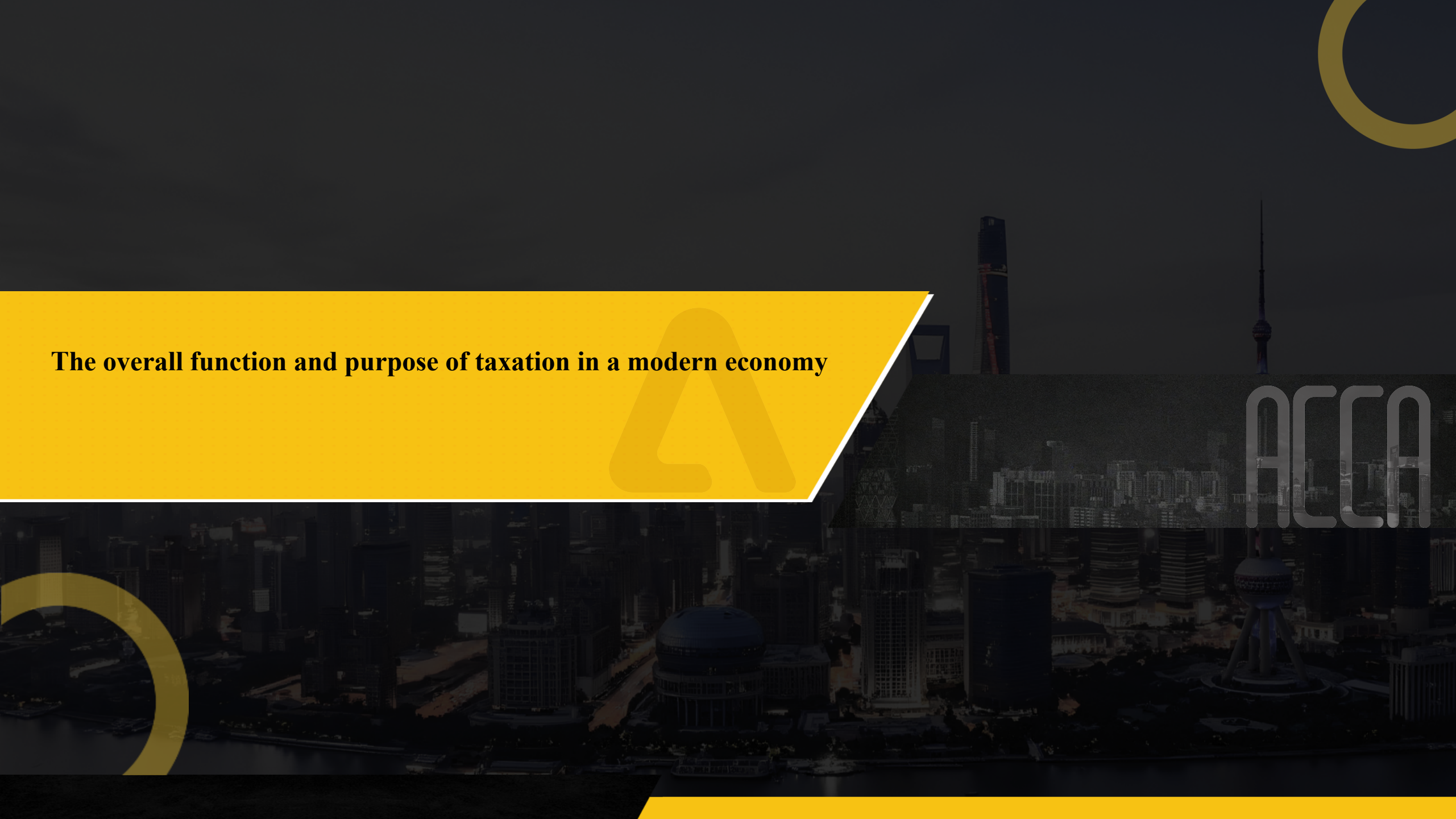
A
The UK tax system and its administration

Content

A The UK tax system and its administration

1. The overall function and purpose of taxation in a modern economy
2. Principal sources of revenue law and practice
3. The systems for self-assessment and the making of returns

The overall function and purpose of taxation in a modern economy



1. Function and purpose of tax

- **Economic factors**

The government could utilize the tax policy to encourage or discourage some kinds of economic activities.

- **Social factors**

The government could utilize the tax policy to redistribute income and wealth.

- **Environmental factors**

The taxation policies could help to deal with environmental problem.

2. Different types of taxes

Tax	Applies to	Direct / Indirect	Capital / Revenue
Income Tax	Individuals (including sole traders and partners)	Direct	Revenue
Corporation Tax	Companies	Direct	Both
Capital Gains Tax (CGT)	Chargeable gains of individuals	Direct	Capital
Inheritance Tax (IHT)	Capital transfers by gift or as a result of death	Direct	Capital
Value Added Tax (VAT)	Taxable supplies of goods and services	Indirect	Neither
National Insurance Contributions (NICs)	Individuals on earnings of employment and self-employment, and businesses as employers on employee earnings and benefits	Direct	Revenue

Lecture example 1

Which ONE of following tax is both revenue tax and capital tax?

A.Income tax

B.Corporation tax

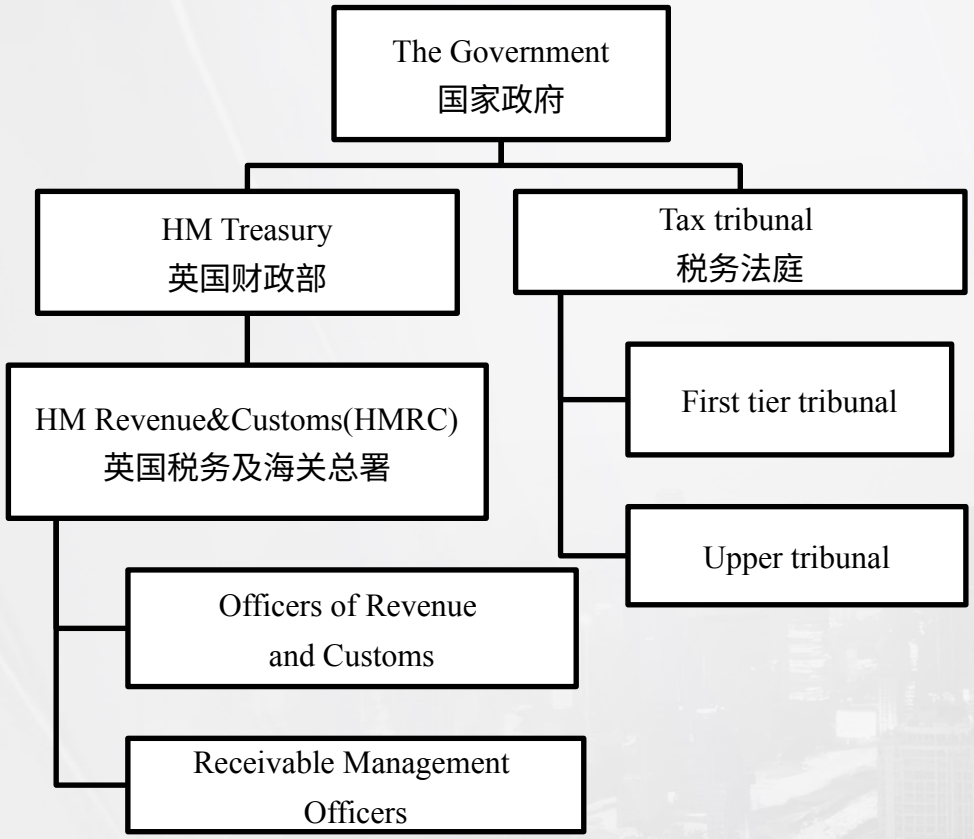
C.Capital gain tax

D.Inheritance tax

E.Value added tax

Principal sources of revenue law and practice

1. UK tax system



1. UK tax system

- **Paper cases, basic cases and standard cases** are decided in **First Tier Tribunal**. The case may be **appealed** to the Upper Tribunal. After that it may also be appealed to the Court of Appeal.
- **Complex cases** are decided in **Upper Tribunal**. The case may also be **appealed** to the Court of Appeal.

2. Different sources of revenue law

The sources of revenue law:

- Acts of Parliament　成文法案
- Case law　　判例法
- Statutory Instruments　法定文书

HMRC publications (Brief)

Statements of Practice　由英国税务局及海关总署出版的相关内容不具有法律效力

Extra-statutory concessions　法外宽免，对于可能造成不公平的现象，税务局会给到一些减免

3. Tax avoidance and tax evasion

- **Tax avoidance**

It is a **legal** act when taxpayers bend the rules of the tax system, such as claim tax relief, to gain a tax advantage and reduce tax burden.

- **Tax evasion**

It also known as fiscal evasion. It is an **illegal** act that consists in hiding or filing false information of taxable income, or taking unallowed deductions with an objective of paying less tax.

4. Ethical and professional approach

- **ACCA code of ethics**
- Integrity
- Objectivity
- Professional competence and due care
- Confidentiality
- Professional behavior

4. Ethical and professional approach

The professional accountant must **not** help a client tax evasion.

If the professional accountant finds that a client makes a **material error or omission** in a tax return, the accountant should discuss with the client. The accountant should also recommend client to amend and disclose to HMRC.

If the client does not correct the error and it is material, accountant should **not act for** the client. The accountant should notice the client **in writing**.
And then, the accountant should also notice HMRC **without** explaining the reason why.

4. Ethical and professional approach

The accountant should also consider the issue under the **Money Laundering Regulations**, whether money laundering report should be made or not. 会计师需要考虑是否存在洗钱相关问题，是否需要做相关报告。

The accountant must **not disclose** this report to the client. It may amount **tipping-off** which is also a criminal offence under the Money Laundering Regulations. 会计师不可向客户披露自己已经做了上述报告，否则会影响国家机关对于犯罪行为的调查，这将定义为通风报信，是洗钱相关刑事犯罪。

5. Double Taxation Agreements

Double Taxation Agreements (DTAs)

Aim to ensure that tax is paid only once on profits, income or gains. Typically a DTA will specify which territory has the right to tax, and will act to that a person will:

- pay tax in the country of residence and get an exemption or relief where the income arises; or
- pay tax in the country of the income source and get an exemption or relief in the country of residence.

Unilateral relief in UK where no DTA exists.

The systems for self-assessment and the making of returns

1. Self-Assessment – all taxes except IHT

The basic principle of the UK tax system is one of *self-assessment* where the taxpayer:

- Makes regular tax returns (IT, CGT, CT and VAT)
- Calculates the related tax liabilities
- Pays the tax due (unless collected at source)

Deduction at source is applied for collection of some income tax and NIC, mainly PAYE operated by employers in relation to wages and salaries of employees.

Claims for reliefs – generally must be made within 4 years

IHT – a relevant person is required to disclose information relating to lifetime transfers and a person's estate at death (i.e. no self-assessment)

2. Professional Tax Advisers

A taxpayer may appoint an accountant or other professional adviser to complete tax returns, agree tax liabilities and deal with any disputes or HMRC checks.

Professional advisers must:	• Exercise their duties competently; • Have due regard to potential conflicts of interest; • Keep proper records of their dealings with their clients and HMRC; and • Act in an ethical manner in accordance with principles established by their professional body (e.g. the ACCA).
Professional body guidance	• The adviser should explain the situation to the client and recommend disclosure to HMRC. • If the client refuses to disclose after normal persuasive advice, then formal written advice should be given regarding the potential consequences.

2. Professional Tax Advisers

Where client will not authorise disclosure	Adviser must cease to act, and also: • Advise the client they are no longer acting for them; • Notify HMRC they have ceased to act, but not why; • If appropriate, consider whether to advise HMRC that accounts or statements carrying a signed report can no longer be relied upon; • Respond in a professionally appropriate and careful manner to any professional clearance letter from a subsequent adviser; and • Consider whether any reporting is required under money laundering regulations.

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Quizzes(self-practice)

Quiz 1

Which of the following is NOT a responsibility of a professional advisor when a client refuses to authorise disclosure of an irregularity in their tax affairs?

A.Advise the client they are no longer acting for them

B.Notify HMRC of why they have ceased to act for the client

C.Consider whether any report is required under the money laundering regulations

D.Respond in a professionally appropriate manner to any professional clearance letter

Quiz 1-A

The correct answer is **B**.
The professional adviser must notify HMRC that they have ceased to act for the client, however they do NOT have to inform HMRC of why they have ceased to act.

Quiz 2

Which of the following statements is correct?

A.Tax avoidance is illegal and tax evasion can be legal
B.Tax avoidance can be legal and tax evasion is illegal
C.Tax avoidance and tax evasion are both illegal
D.Tax avoidance and tax evasion can both be legal

Quiz 2-A

The correct answer is **B**.
Tax avoidance can be the legal minimisation of a tax liability (e.g. in the form of tax planning) and tax evasion is illegal.



谢谢观看

THANK FOR WATCHING